

# SAMPLE BANK — Credit Risk Division

Automated Lending Decisioning: Node-Specific Policy Parameters SAMPLE DOCUMENT — For  
RAG Testing and Evaluation Only

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Issued by: Chief Credit Officer — SAMPLE ONLY

**TESTING DOCUMENT:** All values in this PDF are filled sample figures intended for end-to-end RAG pipeline testing. Ingest this file into the **bank\_policies** Qdrant collection and run an application through the decisioning agent to verify that all 7 nodes retrieve policy values with `llm_response_type = "RAG"`. Replace with board-approved values before production use.

## Section 1: Credit Score Band Classification Parameters

### ADS NODE: credit\_score\_node

This section defines the credit score band thresholds, base lending limits, risk flags, and aggregation weight that the credit\_score\_node reads from the knowledge base. Retrieved when the node queries: *Credit score band classification thresholds for personal loan: PRIME NEAR\_PRIME FAIR SUBPRIME score ranges. Base lending limit by score band. Risk flag LOW MODERATE HIGH mapping. Score weight in aggregated risk computation.*

#### 1.1 Score Band Thresholds

Score band thresholds classify every applicant's CIBIL bureau credit score into one of four risk bands for personal loan assessment:

- PRIME: credit score 750 or higher
- NEAR\_PRIME: credit score 700 to 749
- FAIR: credit score 650 to 699
- SUBPRIME: credit score below 650

#### 1.2 Base Lending Limit by Score Band (INR)

Base lending limit is the maximum loan amount before any adjustment factors are applied. The credit\_score\_node sets base\_limit\_band to these values:

- PRIME score band base lending limit: INR 1000000 (10 Lakh)
- NEAR\_PRIME score band base lending limit: INR 750000 (7.5 Lakh)
- FAIR score band base lending limit: INR 500000 (5 Lakh)
- SUBPRIME score band base lending limit: INR 250000 (2.5 Lakh)

#### 1.3 Risk Flag by Score Band

The score\_risk\_flag field is populated as follows:

- PRIME score band risk flag: LOW
- NEAR\_PRIME score band risk flag: MODERATE
- FAIR score band risk flag: MODERATE
- SUBPRIME score band risk flag: HIGH

#### 1.4 Score Weight in Risk Aggregation

The credit score weight in the composite risk aggregation score is 0.30 (representing 30 percent of the total risk score).

score\_weight = 0.30

## Section 2: Public Record Severity and Hard-Decline Parameters

### ADS NODE: public\_record\_node

This section defines public record severity classification rules, adjustment factors, and hard-decline conditions that the public\_record\_node reads from the knowledge base. Retrieved when the node queries: *Public record severity classification rules: NONE LOW MODERATE SEVERE. Adjustment factor by severity level. Hard decline rules for bankruptcy, suit filed, wilful defaulter, written-off accounts. Years since bankruptcy threshold for severity downgrade.*

### 2.1 Severity Classification Rules

Public record severity is classified as follows based on bureau data:

- NONE: No public records on file. public\_record\_severity = NONE.
- LOW: Non-bankruptcy adverse records only — minor court judgments or liens without active default. public\_record\_severity = LOW.
- MODERATE: Bankruptcy discharged 5 or more years ago. public\_record\_severity = MODERATE.
- SEVERE: Bankruptcy discharged less than 5 years ago, OR multiple unsatisfied judgments, OR active insolvency proceedings, OR RBI wilful defaulter listing. public\_record\_severity = SEVERE.

### 2.2 Adjustment Factor by Severity

The public\_record\_adjustment\_factor multiplies the base lending limit:

- NONE severity adjustment factor: 1.00 (no reduction)
- LOW severity adjustment factor: 0.90 (10 percent reduction)
- MODERATE severity adjustment factor: 0.75 (25 percent reduction)
- SEVERE severity adjustment factor: 0.50 (50 percent reduction)

### 2.3 Hard Decline Rules

The hard\_decline\_flag is set to True — triggering immediate DECLINE — in the following conditions:

- Severity equals SEVERE: hard\_decline\_flag = True.
- Bankruptcy filed within 24 months: hard\_decline\_flag = True.
- Applicant is on RBI Wilful Defaulter list: hard\_decline\_flag = True.
- Active insolvency proceedings under IBC Section 14: hard\_decline\_flag = True.
- All other cases: hard\_decline\_flag = False.

## Section 3: Revolving Credit Utilisation Parameters

### ADS NODE: utilization\_node

This section defines revolving credit utilisation risk bands and adjustment factors that the utilization\_node reads from the knowledge base. Retrieved when the node queries: *Revolving credit utilization ratio risk classification thresholds: EXCELLENT GOOD HIGH CRITICAL utilization percentage bands. Adjustment factor multiplier by utilization risk tier.*

#### 3.1 Utilisation Risk Classification

Utilisation ratio = total revolving balance divided by total revolving credit limit. Only accounts with revolvingOrInstallment = R are included.

- EXCELLENT: utilisation ratio 0 to 20 percent. utilization\_risk = EXCELLENT.
- GOOD: utilisation ratio 21 to 40 percent. utilization\_risk = GOOD.
- HIGH: utilisation ratio 41 to 65 percent. utilization\_risk = HIGH.
- CRITICAL: utilisation ratio above 65 percent. utilization\_risk = CRITICAL.

#### 3.2 Adjustment Factor by Utilisation Risk

The utilization\_adjustment\_factor multiplies the base lending limit:

- EXCELLENT utilisation adjustment factor: 1.10 (10 percent bonus)
- GOOD utilisation adjustment factor: 1.00 (no change)
- HIGH utilisation adjustment factor: 0.85 (15 percent reduction)
- CRITICAL utilisation adjustment factor: 0.70 (30 percent reduction)

If total\_credit\_limit equals zero, set utilization\_ratio to 0.0 and utilization\_risk to EXCELLENT.

## Section 4: Debt Exposure and Monthly Obligation Parameters

### ADS NODE: debt\_exposure\_node

This section defines monthly debt obligation bands and exposure risk classification that the debt\_exposure\_node reads from the knowledge base. Retrieved when the node queries: *Monthly debt obligation thresholds for exposure risk classification: LOW MODERATE HIGH EXTREME monthly payment amount bands in INR. Total outstanding debt ceiling. Monthly EMI estimation rules for tradelines without payment data.*

#### 4.1 Monthly Obligation Bands for Exposure Risk

Monthly obligation bands applied to monthly\_obligation\_estimate (sum of monthlyPaymentAmount across all open tradelines):

- LOW exposure: monthly obligations below INR 5000. exposure\_risk = LOW.
- MODERATE exposure: monthly obligations INR 5000 to 15000. exposure\_risk = MODERATE.
- HIGH exposure: monthly obligations INR 15001 to 35000. exposure\_risk = HIGH.
- EXTREME exposure: monthly obligations above INR 35000. exposure\_risk = EXTREME.

#### 4.2 Total Existing Debt Calculation

total\_existing\_debt = sum of balanceAmount across all open tradelines (openOrClosed = O).

#### 4.3 EMI Estimation Rule for Missing Payment Data

If monthlyPaymentAmount is absent for an open tradeline, estimate EMI as: balanceAmount divided by remaining\_terms. If remaining terms are unknown, use balanceAmount divided by 36.

## Section 5: Payment Behaviour Scoring Parameters

### ADS NODE: payment\_behavior\_node

This section defines delinquency count thresholds, charge-off detection rules, and behavior score values that the payment\_behavior\_node reads from the knowledge base. Retrieved when the node queries: *Delinquency count and DPD bucket thresholds for behavior risk classification: EXCELLENT FAIR POOR UNACCEPTABLE behavior score values. Charge-off identification rules. SMA-0 SMA-1 SMA-2 NPA classification. 30-DPD 60-DPD 90-DPD bucket counting.*

### 5.1 Delinquency Counting Rules

Total delinquencies = sum of delinquencies30Days + delinquencies60Days + delinquencies90to180Days across all tradelines. Each field is a string count (e.g., 00, 01, 03). This count of 30-DPD, 60-DPD and 90-DPD buckets determines the behavior\_risk classification.

### 5.2 Charge-off Detection Rules

chargeoff\_history = True if any tradeline meets one of these conditions:

- derogCounter greater than 0
- status code equals 97 or 93 (written-off)
- dpdHistory contains any of: SUB, DBT, LSS, XXX

chargeoff\_history = False if none of the above conditions are met.

### 5.3 Behavior Risk Classification and Behavior Score

Risk classification and behavior\_score (0 to 100) determined as follows:

- EXCELLENT: 0 delinquencies AND no charge-offs — behavior\_risk = EXCELLENT, behavior\_score = 100
- FAIR: 1 to 2 delinquencies AND no charge-offs — behavior\_risk = FAIR, behavior\_score = 75
- POOR: 3 or more delinquencies AND no charge-offs — behavior\_risk = POOR, behavior\_score = 40
- UNACCEPTABLE: ANY charge-offs present — behavior\_risk = UNACCEPTABLE, behavior\_score = 0

### 5.4 SMA and NPA Classification Reference

SMA-0 = overdue 1 to 30 days. SMA-1 = overdue 31 to 60 days. SMA-2 = overdue 61 to 90 days. NPA = overdue more than 90 days. These map to the DPD bucket counts used in delinquency counting.

## Section 6: Credit Inquiry Velocity Parameters

### ADS NODE: inquiry\_node

This section defines inquiry count thresholds and penalty factors that the inquiry\_node reads from the knowledge base. Retrieved when the node queries: *Credit inquiry count thresholds in last 12 months for velocity risk: LOW MODERATE HIGH inquiry-count bands. Inquiry penalty factor multiplier by velocity risk tier.*

#### 6.1 Inquiry Counting Window

Count only hard inquiries with dates within the last 12 months from the assessment date. Soft inquiries are excluded. inquiries\_last\_12m is the result of this count.

#### 6.2 Velocity Risk Classification by Inquiry Count

velocity\_risk is classified based on inquiries\_last\_12m as follows:

- LOW velocity risk: 0 to 2 inquiries in last 12 months. velocity\_risk = LOW.
- MODERATE velocity risk: 3 to 5 inquiries. velocity\_risk = MODERATE.
- HIGH velocity risk: 6 or more inquiries. velocity\_risk = HIGH.

#### 6.3 Inquiry Penalty Factor

The inquiry\_penalty\_factor multiplies the lending limit. Applied multiplicatively after public record and utilisation adjustment factors.

- LOW velocity risk inquiry penalty factor: 1.00 (no reduction)
- MODERATE velocity risk inquiry penalty factor: 0.95 (5 percent reduction)
- HIGH velocity risk inquiry penalty factor: 0.85 (15 percent reduction)

## Section 7: Income Verification and DTI Policy Parameters

### ADS NODE: income\_analysis\_node

This section defines DTI thresholds, FOIR limits, and missing-income handling rules that the income\_analysis\_node reads from the knowledge base. Retrieved when the node queries: *Debt to income DTI ratio thresholds for income risk classification: LOW MODERATE HIGH UNACCEPTABLE DTI percentage bands. Affordability cap, FOIR fixed-obligation-to-income ratio. Missing income handling rules and defaults.*

#### 7.1 DTI Calculation Method

DTI formula:  $\text{estimated\_dti} = \text{monthly\_obligations} / \text{monthly\_income}$ . Monthly obligations = sum of monthlyPaymentAmount from all open tradelines plus the proposed new EMI. Income source = bank\_statement\_summary monthly\_income field. FOIR (Fixed Obligation to Income Ratio) is equivalent to DTI in this context.

#### 7.2 Missing Income Handling

If monthly\_income is null, zero, or UNKNOWN:

- income\_missing\_flag = True
- estimated\_dti = 99.9
- income\_risk = UNACCEPTABLE
- affordability\_flag = False

#### 7.3 DTI Risk Classification Bands

income\_risk is classified based on estimated\_dti as follows:

- LOW income risk: DTI below 0.30 (obligations less than 30 percent of income). income\_risk = LOW.
- MODERATE income risk: DTI 0.30 to 0.40. income\_risk = MODERATE.
- HIGH income risk: DTI 0.41 to 0.50. income\_risk = HIGH.
- UNACCEPTABLE income risk: DTI above 0.50. income\_risk = UNACCEPTABLE.

#### 7.4 Affordability Cap — FOIR Limit

affordability\_flag = True only if DTI is at or below 0.50. This is the maximum FOIR permitted by this bank (50 percent of gross monthly income). affordability\_flag = False if DTI exceeds 0.50. A False affordability\_flag triggers immediate DECLINE in the decision node.



## Section 8: Lending Decision and Interest Rate Parameters

**ADS NODE:** `decision_llm_node`

This section defines interest rates by risk tier, origination fee, and counter-offer affordability parameters used by the `decision_llm_node` and `counter_offer_node`.

### 8.1 Interest Rate Schedule by Risk Tier

Annual interest rate by aggregated risk tier:

- Tier A (PRIME risk): `interest_rate` = 9.50 percent per annum
- Tier B (NEAR\_PRIME risk): `interest_rate` = 12.00 percent per annum
- Tier C (FAIR risk): `interest_rate` = 15.50 percent per annum
- Tier D (SUBPRIME risk): `interest_rate` = 20.00 percent per annum

### 8.2 Origination Fee and Disbursement

- Origination fee: 2.5 percent of approved amount
- `disbursement_amount` = `approved_amount` multiplied by 0.975 (i.e., 100 percent minus 2.5 percent origination fee)

### 8.3 Counter-Offer EMI Affordability Ceiling

`max_affordable_emi` = `monthly_income` multiplied by 0.40 (40 percent of gross monthly income) minus existing `monthly_obligations`. Counter-offer principal is back-calculated from this EMI ceiling at the applicable interest rate and requested tenure.